



CUSTOMS CLEARANCE PROCESS

All cargo that comes into South Africa is cleared by Customs and Excise which is a division of the South African Revenue Service (SARS). Every item that enters or leaves the country has got a tariff number, as such every item is classified in the Harmonized Customs book.

The process by which documents are passed to customs is known as passing an entry and should be a registered customs agent. When selecting a freight forwarder it better to select one that does its own customs clearance instead of handing over to a third party as service levels and ownership of potential problems are maintained throughout the transaction.

Paperwork and invoices

In order for good to be customs cleared the paperwork would need to be correct and thus be in an official language of South Africa. As English is the common international business language an invoice in the above language is sufficient. Regarding the invoice, there are a couple of point that need to be adhered. These include:

- The invoice that is used by customs is to have been issued by the exporter of the goods in question.
- The invoice must be true factually, this means that the details of the transaction including the amount payable and the relevant currency need to be included on the invoice. A common currency such as USD is sufficient
- The country of origin needs to be reflected on the invoice as well as the suppliers full address
- The date of the transaction needs to be included as well as the person to whom the invoice is address to needs to be on the document
- The price paid or payable dependant on the terms of the deal, however the below would need to added
 - Any discount that is applicable to the deal
 - Any commissions payable to either entity



- Any royalties that are due from the transaction
 - Freight costs
 - Any other information that would affect the price of the product
- A full description of the goods, including the nature and characteristics of the item/s in question.
- The relevant trade name for the goods
- The description of the goods must be sufficient in order to enable customs to properly identify the goods for tariff purposes.
- Where the tariff classification depends on the physical makeup of the goods, such as the consistency, composition, weight, hazardous nature and capability – the description given on the invoice must reflect those particular characteristics.

Value for Customs purposes

Section 67(1) and (2) of the Customs and Exercise Act, covers the adjustment made to the price that is paid for the goods. These charges are the Dutiable costs, charges and related expenses

The Act stipulates that the below must be added to the price payable for the goods:

- Inland costs from supplier to the port of load.
- Cost of loading on board the vessel EG. Origin THC.
- Commission and brokerage excluding buying commission.
- Royalties, licence fees patents, trademark and copyrights payable by the buyer as a condition of sale.

Any of the following costs, charges or expenses shall be deducted from the price paid or payable :

- International transport i.e.. Ocean freight or airfreight.
- Marine insurance.
- Any cost incurred within the republic e.g. Duty, transport.
- Expenditure incurred after importation such as technical assistance



Thus all goods that are imported into South Africa are classified under Schedule 1

The Department of Trade and Industry (DTI) is responsible for ensuring that the duties are put in place, whereas Customs oversees the classification of the products. Once a tariff code is determined by customs, and the applicable duties raised, they are brought to account by means of an SAD 500 declaration.

The tariff book has the first six numbers which are internationally uniform to reflect a general product classification. This is sometimes referred to as the Tariff Subheading

Thus is classified as the first schedule

The second schedule covers anti dumping and countervailing duties on imported goods

The second schedule covers industrial rebates of customs duties which are given to certain products that can't be manufactured locally or are highly specialized

The Fourth schedule is broken up into three parts

1. General rebates of customs duties
2. Temporary rebates of customs duties
3. Goods temporarily admitted under rebate of customs duties

Classification and Tariff Determination

The classification of goods is up for debate due to the ambiguous nature of some goods due to their multi-purpose, composition or even opinion of the manufacturer that produced them. As such it is within an importer's right to ask for tariff determination from customs.



It is accepted by customs that a bill of entry and the subsequent release whilst a legal document is not the end of the road when it comes to whether a product is to be deemed as classified correctly. Freight forwarders and business entities should hold their documents for a period of five years in case Customs would like to revisit an issue.

Thus a tariff determination is done to ensure that goods are correctly entered into the system and that there will be historical duties deemed payable by the revenue services, several years later.

The Rights of Customs

Customs is a government department and as such has a lot of power when it comes to regulating and inspecting the cargo that would come into the country. As such it is up to an importer or exporter to be aware of the below possible actions by customs.

- Customs may stop and detain any goods which they deem fit.
- There are a number of different types of customs stops such as a document check whereby customs would call for additional information before releasing the cargo.
- Subsequently customs may call for the cargo be inspected in what is known as a tail inspection, whereby customs do a visual inspection of the cargo in the container
- Furthermore, customs are entitled to demand a full unpack of the cargo at a registered customs depot at their discretion

Organizations that can stop shipments:

1. If the mode is sea or airfreight the organisation will be SARS
2. If the mode is sea or road then the organisation is SAPS
3. The National Regulator for Compulsory Specifications (NRCS)
4. The Tactical Intervention Unit (TIU)
5. Customs Border Control unit (CBCU)



As an importer the responsibility rest on oneself to ensure the below is adhered to:

1. The importer/exporter must submit a written clearing instruction. It is illegal for the freight forwarder to sign this document on the importer/exporters behalf
2. The suppliers invoice must be accurate and true or else it will be declared invalid, leading to a possible sanction
3. A realistic value of the goods should be also be given as some sectors of the economy are renowned for trying to get away with paying unrealistic duties.
4. The bill of entry (SAD 500) is the document on which an importer or exporter makes due declaration to Customs. The information declared here must be accurate and compliant in every sense.
5. The onus rest on importers to ensure they are happy with tariff determination as deemed by their freight forwarder. However the importer should always give as much information as possible regarding the use of the imported item so that an alternative tariff code can possibly be found.

Penalties can be issued by customs due to a range of factors such as

1. Suppliers invoice with no description
2. Pro-forma invoices
3. Invoices without mention of the foreign currency
4. Incomplete clearing instructions
5. Failure to update company registration
6. Suppliers invoices in a foreign language